
4.3 Unit content

4.3.1 What are the causes and effects of globalisation?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Causes of globalisation	Identify factors contributing to globalisation.	For example: trade liberalisation; reduced cost of communications; increased significance of transnational companies.
Effects of globalisation	Identify the benefits and costs of globalisation.	Students should consider the issue of sustainability and environmental degradation as part of the costs of trading.

4.3.2 Why trade?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Patterns of trade	Identify patterns of trade between developed and developing countries.	Students should be aware of changes in trade flows between countries and the reasons for them, for example the potential impact of China and India on world trade patterns and the possible reaction of developed economies.
Specialisation and comparative advantage	Understand the benefits and costs of specialisation and trade; the law of comparative advantage.	Students should understand the distinction between absolute and comparative advantage. The significance of opportunity cost should be emphasised. Comparative advantage may be illustrated numerically and diagrammatically.
WTO	Understand the role of the World Trade Organization (WTO) in trade liberalisation; trading blocs.	The distinction between different types of trading blocs should be understood. Possible conflicts between trading blocs and the WTO should be considered.
Restrictions on free trade	Identify potential restrictions on free trade: reasons and types for example, tariffs, quotas, non-tariff barriers, subsidies to domestic producers.	Diagrammatic representation of tariffs is required (to include welfare changes and government revenue).
Protectionism	Identify potential effects of protectionist policies on resource allocation.	Students should examine cases of protectionism currently in the news.

4.3.3 How is international trade recorded and financed?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Balance of Payments	Understand the different components of the Balance of Payments.	For example: the trade in goods and services current account as well as the accounts showing short- and long-term capital flows.
Current account deficits and surpluses	Understand the factors influencing the size of deficits and surpluses on different components of the Balance of Payments; significance of deficits and surpluses on the current account.	Students should consider whether such current account surpluses and deficits matter and examine measures to reduce such imbalances. The significance of global imbalances should be examined.
Influences on exchange rates	Understand factors influencing exchange rates.	Students should consider the significance of relative interest rates; relative inflation rates; speculation.
Changes in exchange rates	Consider the impact of changes in exchange rates.	For example the implications for competitiveness.
Monetary union	Understand benefits and costs of monetary unions.	For example: the effects on the rate of inflation; unemployment; the Balance of Payments and economic growth. Students could focus on the eurozone. Specific knowledge of other monetary unions (single currencies) is not required.

4.3.4 How does a country compete?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Measures of competitiveness	Consider measures of competitiveness.	For example: relative unit labour costs and relative export prices.
Factors influencing competitiveness	Consider factors influencing a country's competitiveness.	For example: exchange rate; productivity; wage and non-wage costs; regulation.
Government policy	Examine government policy to increase international competitiveness.	For example: measures to improve education and training; incentives for investment; deregulation. Students might examine case studies of particular industries to see how they compete for example: cars; textiles.

4.3.5 What is poverty and inequality in developed and developing countries?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Absolute and relative poverty	Consider absolute and relative poverty.	An ability to understand/sketch a Lorenz curve diagram and Gini coefficients is required.
Measurements of inequality	Identify measurements of inequality: the Lorenz curve; Gini coefficient.	Students should consider the causes and consequences of inequality and poverty in developed and developing countries and related issues, for example the extent to which inequality is an essential ingredient of capitalism.

4.3.6 What are the limits to growth and development in developed and developing countries?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Limits to growth and development	Consider factors such as: ■ poor infrastructure ■ human capital inadequacies ■ primary product dependency ■ savings gap; inadequate capital accumulation ■ foreign currency gap ■ capital flight ■ corruption ■ population issues ■ debt ■ poor governance; civil wars.	Students will not be expected to know specific numerical information for countries. Students should be aware of the problems associated with declining terms of trade. Students would benefit from using case studies as a means of illustrating the constraints facing different economies and reasons for their different growth rates. For example, they could study one country from each of the following continents: Africa, Asia, South America, North America and Europe. Specific knowledge of individual countries will not be required.

4.3.7 What is the role of the state in promoting growth and development?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Macro economic policies	Evaluate the use of policies to achieve economic objectives including macroeconomic stability. For example, how fiscal policy is used to achieve budgetary objectives; the role of independent central banks to achieve inflation targets; the use of supply-side policies to achieve economic growth.	Students should have an understanding of global factors influencing a country's inflation rate; for example the impact of low wages in developing countries or the impact of a rise in commodity prices. The AD/AS model introduced in Unit 2 should be applied in analysing and evaluating these policies. The distinction between short and long run aggregate supply curves should be considered, as well as the factors influencing each. Students should be aware of the problems facing policy makers when applying policies, for example inaccurate information; risks and uncertainties.
Public expenditure	Give reasons for the changing size and pattern of public expenditure in different countries. Examine how the state might tax revenues to improve human capital.	Students should understand the significance of differences in tax structures; public expenditure and public finances between countries. For example, students might examine the significance of the differences of the size of the state sector between a developed economy such as the UK and a developing economy such as Malaysia.